

Status:	In Progress
Project:	Design
Components:	None
Affects versions:	None
Fix versions:	None
Parent:	Accounting Software

Type:	Story	Priority:	Medium
Reporter:	Beatrice Ozanne	Assignee:	ayepapa myo
Resolution:	Unresolved	Votes:	0
Labels:	None		
Σ Remaining Estimate:	Not Specified	Remaining Estimate:	Not Specified
Σ Time Spent:	Not Specified	Time Spent:	Not Specified
Σ Original Estimate:	Not Specified	Original estimate:	Not Specified

Attachments:	 Screenshot 2569-06-06 at 22.49.47.png				
Sub-tasks:	Key	Summary	Type	Status	Assignee
	DES-763	Credit Notes Settings and List	Sub-task	To Do	
Sprint:	DES Sprint 54				

Description

Background

Clients sometimes need to cancel or reduce an unpaid sales invoice — a customer cancels an order, a price is corrected, or a discount is applied. In Block 1 (Sales Invoice), "Cancel with Credit Note" creates a credit note linked to the invoice: a full credit cancels the invoice, a partial credit reduces the amount due. Once created, a credit note can be edited by the client at any point before it has been applied to a payment.

Goal

Let a client create a sales credit note against an unpaid invoice (Awaiting Payment / Overdue) — pre-filled from that invoice — which fully cancels or partially reduces the invoice; and allow the client to edit the credit note after creation and before it is applied.

Acceptance Criteria

1. Start a credit note from an unpaid invoice

GIVEN an invoice in Awaiting Payment or Overdue status
WHEN the client selects "Cancel with Credit Note"
THEN the system opens a New Credit Note form pre-filled from the invoice, with all fields editable (see Carried-Over Data table below)

1. Edit and create the credit note

GIVEN the pre-filled credit note form
WHEN the client edits/confirms the details and selects "Create Credit Note"
THEN the system validates the input and creates the credit note linked to the originating invoice
AND the credited amount cannot exceed the invoice's outstanding amount

1. Apply the credit to the linked invoice

GIVEN the credit note is created
WHEN the system applies it to the invoice
THEN it updates the invoice status and outstanding balance according to the credited amount (see Credit Outcome table below)

1. Client can edit a credit note after creation and before it is applied

GIVEN a credit note has been created and has status Open or Partially Applied
WHEN the client opens the credit note and selects Edit
THEN they can edit all fields marked as Editable in the Credit Note Fields table (Story 2)
AND on save, the credit note is updated and the document preview reflects the changes immediately

AND if the credit note has already been sent to the customer, the client is prompted to re-send the updated version
AND editing is blocked once the credit note status is Fully Applied, Refunded, or Cancelled

1. Send the credit note

GIVEN a created credit note
WHEN the system displays the "Send Credit Note" screen
THEN the client can close, or choose a send method (email / shareable link / download), reusing the invoice send flow

1. Create failure is recoverable

GIVEN the client selects "Create Credit Note"
WHEN the create fails (validation or backend error)
THEN the system shows a clear error, retains the entered details, and lets the client correct and retry

Rules

Credit Outcome

Credited Amount	Linked Invoice Result
Full invoice amount	Invoice marked Cancelled
Partial amount	Invoice stays Awaiting Payment ; outstanding reduced by the credited amount (deducted amount displayed)

Carried-Over Data (pre-fill from invoice)

Field	Behaviour
Client info	Carried over from the credited invoice; editable
Linked invoice number	Carried over and stored as the link; reference shown on the credit note
Line items / products & services	Carried over; editable for a partial credit
Currency	Same as the credited invoice; not editable

Edit Rules (post-creation)

Status	Editable?
Open	Yes — all fields marked Editable in CN Fields table (Story 2)
Partially Applied	Yes — all fields marked Editable in CN Fields table (Story 2)
Fully Applied	No
Refunded	No
Cancelled	No

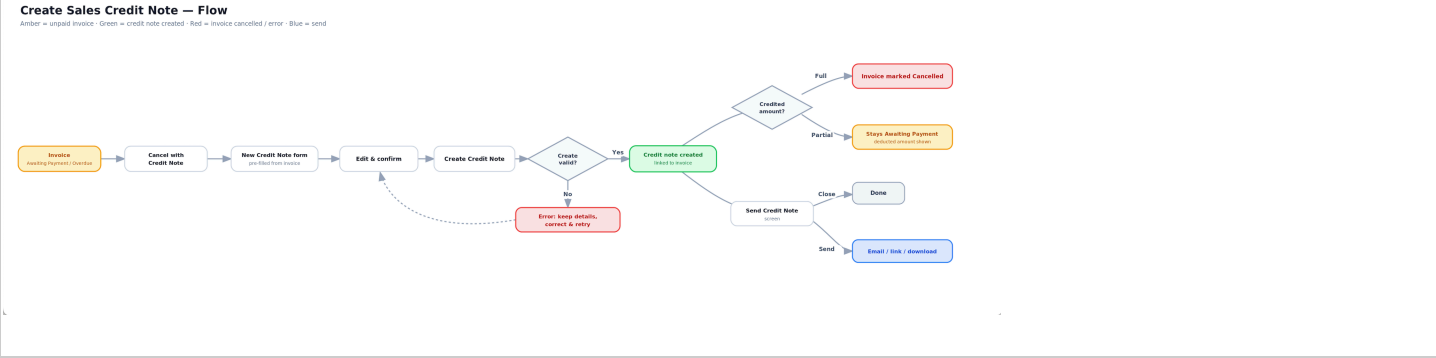
Credit Note Validation Rules

Condition	Expected Behaviour	Notes
Required credit note fields are complete	Credit note can be created	Applies before creation
Required editable fields are empty	Credit note is not created	User should be informed
Credit note issue date is invalid	Credit note is not created	Must be in DD/MM/YYYY format
Credited amount exceeds invoice outstanding amount	Credit note is not created	User should be informed

Notes

- Surface: client side is the mobile app; the Operation Manager back office is web.
- Applies to unpaid invoices (Awaiting Payment / Overdue). For Paid invoices, the refund-with-credit-note flow is a separate story (Story 7).
- "Cancelled" is the standard end state for a fully credited invoice.
- Dev note: data related to the credited invoice (client info + invoice number) is carried over to the credit note.
- Journal entries — issuing a credit note reverses the related journal entries; this posting/reversal is specified in the Chart of Accounts / Journal story, not here.
- Out of scope: the refund flow, the View Credit Note flow, and journal posting.
- Multiple partial credit notes can be raised cumulatively against one invoice, capped at the invoice total. Track cumulative credited amount; when it equals the invoice total, status → Refunded.
- Credit notes have their own number sequence (CN-YYYY-#####, separate from invoices) and their own lifecycle, independent of the invoice.
- A reason field is required. Dropdown (return / defect / pricing error / goodwill / dispute) plus optional free text.
- Golive flag: this feature must be turned off on Prod at launch.

Workflow Diagram



Comments

Comment by Beatrice Ozanne [28/Jun/26]

Kiru's Comments

Acceptance Criteria

KR: Credit note list (like Sales invoice list) needs to be included in the Story. This displays list of all Sales invoices and Credit Notes.

1. Edit and create the credit note

GIVEN the pre-filled credit note form

WHEN the client edits/confirms the details and selects "Create Credit Note" KR: Credit Note can be edited **after** "Create Credit Note" and **before** payment - Missing Story on Edit Credit Note

THEN the system validates the input and creates the credit note **linked to the originating invoice**

AND the credited amount cannot exceed the invoice's outstanding amount

Comment by Beatrice Ozanne [28/Jun/26]

Following Kiru's comments - Story 6 amended to Create and Edit Sales Credit Notes

- **Credit note list (like Sales invoice list) needs to be included in the Story. This displays list of all Sales invoices and Credit Notes. - See <https://statrys.atlassian.net/browse/DES-763> Story**

- **KR: Credit Note can be edited **after** "Create Credit Note" and **before** payment - Missing Story on Edit Credit Note**
 - **New — AC4 (the missing KR story):**
Client can edit a credit note after creation and before it is applied. Editing is blocked once status is Fully Applied, Refunded, or Cancelled. If already sent, client is prompted to re-send.
 - **New — Edit Rules table:**
Maps each CN status to editable yes/no.
 - **Updated — CN number format:** CN-XXXX → CN-YYYY-#####
 - **Updated — "Void" → "Cancelled"**